

CHAPTER: 19**INTRODUCTION AND FINANCIAL STATEMENT OF LIMITED COMPANIES**

A **company means** a voluntary association formed for the purpose of carrying on some business.

Types of company:

Private limited company (2-50)
Public limited company (2-unlimited)

Types of capital:**Authorized capital, Registered or Nominal capital:**

This is the total of the share capital which the company is allowed to issue to shareholders.

Called-up capital:

The total amount asked for on all the issued shares is known as the called-up capital.

Paid-up capital:

This is the total of the amount of share capital which has been paid for by shareholders.

Issued capital:

This is the total of the share capital actually issued to shareholders.

Example 1:

50,000	Authorized capital	40,000	Called-up capital (Issued)
<u>40,000</u>	Called-up capital	<u>45,000</u>	Paid up capital
10,000	Uncalled capital	5,000	Excess amount return

Example 2:

50,000	Authorized capital	40,000	Called-up capital
<u>40,000</u>	Called-up capital	<u>35,000</u>	Paid up capital (Issued)
10,000	Uncalled capital	5,000	Calls in arrears

Uncalled capital:

This is the total amount which is to be received in future relating to issued share capital, but which has not yet been asked for.

Calls in arrears:

The total amount for which payment has been asked for but has not yet been paid by shareholders.

Transfer to reserve:

The directors may decide that some of the profits should not be included in the calculation of dividends. These profits are transferred to general reserve accounts but the reason may not be specific.

Shares:

The division of the capital of a limited company into parts.

Types of shares:

- Preference shares
- Ordinary shares

Preference shares:

Preference shareholders receive a **fixed rate** of dividend before the other shareholders.

Ordinary shares:

These shareholders get dividend from the Profit for the years of the company after the fixed dividend on preference shares has been paid up. The rate of dividend is not fixed.

Dividend:

The portion of profit which is given to the shareholders is called proposed dividend.

- Interim dividend (6 month)
- Final dividend (12 month)

Debentures:

This is loan capital. When limited companies receive money as loans and issue certificates to the lender these certificates are called debentures.

- Amount of loan
- Rate of interest
- Time period

Advantages and disadvantages of operating as a limited company**Advantages**

1. Limited Liability
2. Professional Image
3. Ability to Raise Capital
4. Credibility and trust
5. Investment and lending opportunities
6. Share transfer easily
7. Protecting a company name
8. Pensions

Disadvantages:

- 1) Complexity in formation
- 2) Reports and information Disclosure
- 3) Increased legal responsibilities
- 4) More complex accounting requirements
- 5) Higher set-up costs.
- 6) Ownership and control issues
- 7) Higher levels of transparency required
- 8) Dissolution Challenges

Key Points:

- 1) Statement of profit or loss
- 2) Statement of changes in Equity
- 3) Statement of financial position
- 4) Notes

Company Name Statement of profit or loss For the year ended, 31st Dec 2007		
	\$000	\$000
Sales		48
Less: cost of sale (w)		<u>(14)</u>
Gross Profit		34
Less: Operating expenses:		
Administration expense (w)	3	
Selling and distribution expense (w)	<u>3</u>	<u>(6)</u>
Operating Profit		28
Less: Loan interest		(2)
Less: Debenture interest (finance cost)		<u>(3)</u>
Net profit/profit after interest/Profit before tax		23
Less: Taxation		<u>(6)</u>
Profit after tax / current year profit		<u><u>17</u></u>

Company Name Statement of changes in Equity For the year ended, 31st Dec 2007					
	Ordinary Capital	Share Premium	General Reserve	Assets revaluation reserve	Retained Earnings
	\$000	\$000	\$000	\$000	\$000
Balance at start of the year	28	1	2	4	5
Issuance of shares	2	1			
Current year profit					17
General Reserve.			3		(3)
Assets revaluation reserve				2	
Interim ordinary dividend					<u>(6)</u>
	<u>30</u>	<u>2</u>	<u>5</u>	<u>6</u>	<u><u>13</u></u>

Company name			
Statement of financial position as at 31 st Dec 2007			
	\$000	\$000	\$000
Non-current assets:	Cost	Dep	NBV
Building	40	2	38
Furniture	10	2	8
Motor vehicles	<u>15</u>	<u>3</u>	<u>12</u>
			58
Current Assets:			
Closing Inventory		4	
Trade receivables		6	
Cash and cash equivalent (Bank)		4	
Cash in hand		2	
Prepaid expenses		<u>2</u>	<u>18</u>
Total assets			76
Share capital and reserve			
Ordinary shares capital		30	
Add: general reserve (total)		5	
Assets revaluation reserve		6	
Share premium		2	
Retained profit		<u>13</u>	54
Non-current liabilities			
10 % Debenture			10
Current Liabilities:			
Trade payables		4	
Debenture interest owing		2	
Taxation		<u>6</u>	<u>12</u>
Total capital and liabilities			76

Retained profit = Current year profit + Last year profit - Current year general reserve
- interim ordinary dividend

Q: 1

The directors of G Limited have provided a trial balance at 30 September 2020.

	Debit \$	Credit \$
Administrative expenses	117 528	
Bank		10 316
Distribution costs	60 263	
Inventory at 1 October 2019	86 228	
Ordinary share capital (\$1 shares)		200 000
Property plant and equipment Cost	300 000	
Provision for depreciation at 1 October 2019		82 500
Provision for doubtful debts at 1 October 2019		1 528
Purchases	237 851	
Retained earnings		34 572
Revenue		498 430
Share premium		20 000
Trade payables		26 124
Trade receivables	<u>71 600</u>	
	<u>873 470</u>	<u>873 470</u>

The following information is also available.

1 Property plant and equipment

	Cost \$	Accumulated depreciation \$	Depreciation method	Allocation of depreciation
Land	120 000	Nil	—	Nil
Other than land	180 000	82 500	15% per annum straight-line	2/3 administrative Expenses 1/3 distribution Costs
Total	300 000	82 500		

There were no acquisitions or disposals during the year.

2 Inventory at 30 September 2020 cost \$91 368 and had a net realisable value of \$126 435.

3 The directors wish to maintain a provision for doubtful debts at 3% of trade receivables. All expenses relating to doubtful debts are charged to administrative expenses.

4 At 30 September 2020

	\$
Administrative expenses accrued	3 850
Bank interest accrued	250
Distribution costs prepaid	1 460

REQUIRED

- (a) Prepare the income statement for the year ended 30 September 2020.
- (b) Prepare the statement of financial position at 30 September 2020.
- (c) State two differences between ordinary shares and preference shares.
- (d)
 - (i) Define a 'capital reserve'.
 - (ii) State one use of a capital reserve.

Additional information

The directors are planning a major expansion. They wish to raise \$100 000. The directors are considering three options:

Option 1: Issue 6% debentures (2029) of \$100 000.

Option 2: Make a rights issue of one ordinary share for every two ordinary shares held at \$1 each.

Option 3: Make a new issue of 100 000 ordinary shares at a premium of \$0.10 per share.

REQUIRED

- (e) Advise the directors which option they should take. Justify your answer.

Q: 2 The directors of Y Limited have provided the following balances at 30 June 2022.

	\$
6% debentures (2025–2026)	60 000
Administrative expenses	89 540
Bank overdraft	1 440
Carriage inwards	4 310
Delivery vehicles – valuation	74 000
Distribution costs	72 910
Dividends paid	6 400
Finance costs	1 800
Inventory at 1 July 2021	105 600
Office equipment – cost	54 600
Office equipment – provision for depreciation	22 300
Provision for doubtful debts	3 540
Purchases	338 200
Retained earnings	16 920
Returns inwards	7 550
Revenue	615 300
Share capital (ordinary shares of \$1 each)	80 000
Trade payables	48 650
Trade receivables	93 240

The following information is also available.

1. Inventory at 30 June 2022 was valued at \$126 800.
2. Inventory at 30 June 2022 included damaged goods costing \$3200 that could be sold for \$3950 after repairs costing \$910.
3. The delivery vehicles have an estimated value at 30 June 2022 of \$62 000.
4. Office equipment is to be depreciated at 10% per annum using the reducing balance method.
5. Administrative expenses included \$1800 office rent for the three months ending 31 August 2022.
6. Distribution costs of \$850 were owing at 30 June 2022.
7. The 6% debentures (2025–2026) were issued in 2017.
8. An irrecoverable debt of \$490 is to be written off to administrative expenses.
9. The provision for doubtful debts is to be maintained at 4% of trade receivables.
10. There is no interest charged on the bank overdraft

REQUIRED

(a) Prepare the income statement for the year ended 30 June 2022.

(b) Prepare the statement of financial position at 30 June 2022.

Additional information

The directors of Y Limited wish to repay the 6% debentures (2025–2026) early. They are considering making a rights issue of one ordinary share for every two shares held at a premium of 50%.

REQUIRED

(c) Advise the directors whether or not they should make a rights issue of ordinary shares to repay the debentures. Justify your answer.

Q: 3

AB Limited is a wholesaler of household goods. The following information has been extracted from the books of account at 31 December 2018.

	\$
6% debenture (2023–25)	80 000
Administrative expenses	111 700
Buildings Cost	80 000
Building Prov for depreciation at 1 January 2018	28 800
Land at cost	65 000
Motor vehicles Cost	46 000
Motor Prov for depreciation at 1 January 2018	9 200
Warehouse fixtures and fittings Cost	12 900
Fixture & fitting Prov for depreciation	8 900
Carriage inwards	1 200
Cash and cash equivalents (credit balance)	5 300
Distribution costs	184 800
Finance costs	2 200
Inventory at 1 January 2018	56 500
Ordinary share dividend paid	1 700
Purchases	310 600
Retained earnings	19 100
Returns inwards	8 300
Revenue	670 400
Share capital ordinary shares of \$1 each	80 000
Share premium	35 000
Trade and other payables	36 600
Trade and other receivables	92 400

Additional information

1. Inventory at 31 December 2018 was valued at \$62 000.
2. Trade and other receivables include prepaid insurance of \$2000.
3. An irrecoverable debt of \$400 should be written off to administrative expenses.
4. The directors wish to create a provision for doubtful debts of 5% of trade receivables. This should be charged to administrative expenses.
5. The debenture was issued on 1 March 2018. No interest has yet been paid.
6. The buildings owned by the company are used 75% as warehouse space and 25% as office space.
7. All of the company's motor vehicles are used only for deliveries.
8. The company's depreciation policy is as follows:

Buildings	2% per annum straight-line method
Motor vehicles	20% per annum straight-line method
Warehouse fixtures and fittings	10% per annum reducing balance method

REQUIRED

(a) Prepare the income statement for the year ended 31 December 2018.

(b) Prepare the statement of financial position at 31 December 2018.

Additional information

The directors of AB Limited wish to raise an additional \$100 000 capital for expansion. They are considering either a rights issue of ordinary shares or an issue of a further debenture.

REQUIRED

(c) Advise the directors which option they should choose. Give reasons for your answer.

(d) Identify two internal stakeholders with an interest in the financial statements of a limited company.

Q: 4 S Limited is a private limited company. The directors have extracted the following information at 30 September 2019.

	\$	\$
6% debentures (2021 – 2022)		68 000
Accrued expenses		2 480
Administrative expenses	63 810	
Bank overdraft		12 770
Carriage inwards	3 600	
Distribution costs	49 330	
Interest paid	8 160	
Inventory at 1 October 2018	62 500	
Freehold property	220 000	
Motor vehicles		
Cost	84 600	
Provision for depreciation at 1 October 2018		38 760
Office equipment		
Cost	68 700	
Provision for depreciation at 1 October 2018		32 300
Prepaid expenses	4 400	
Purchases	392 340	
Retained earnings		69 700
Returns inwards	3 470	
Revenue		764 570
Share capital (ordinary shares of \$1 each)		50 000
Share premium		15 000
Trade payables		48 730
Trade receivables	86 500	
Wages and salaries	54 900	

The following information is also available:

1. The value of inventory at 30 September 2019 was \$73 100 at cost. The directors now wish to write off \$2000 in respect of damaged items.
2. Purchase of new office equipment of \$6000 had been posted to distribution costs in error.
3. Motor vehicles are to be depreciated at 20% per annum using the straight-line method. The estimated residual value of the motor vehicles is \$20 000. Depreciation is to be charged to distribution costs.
4. Office equipment is to be depreciated at 15% per annum using the reducing balance method. Depreciation is to be charged to administrative expenses.
5. At 30 September 2019 there was an additional accrual for wages and salaries of \$1700. Wages and salaries are to be charged as 70% to administrative expenses and 30% to distribution costs.
6. Interest paid included debenture interest paid to 30 June 2019.
7. At 30 September 2019 there was an additional prepayment of \$4800 for administrative expenses.
8. The directors wish to create a provision for doubtful debts equal to 2% of trade receivables at 30 September 2019 and include it in administrative expenses

REQUIRED

- (a) Prepare the income statement for the year ended 30 September 2019.
- (b) Prepare the statement of financial position at 30 September 2019.
- (c) Explain the term '6% debentures (2021 – 2022)', which appears in S Limited's financial statements.

Additional information

Despite having made substantial profit for the year, the directors are concerned that the shareholders have not received any dividends.

They are considering two options:

Option 1: paying the shareholders a dividend of \$0.50 per share

Option 2: making a bonus issue of 1 ordinary share for every 2 shares held.

REQUIRED

- (d) Advise the directors on which option they should choose. Justify your answer.

Q: 5 AH Limited has produced its trial balance for the year ended 30 September 2017.

Trial Balance at 30 September 2017

	\$	\$
Sales revenue		558 000
Purchases	352 000	
Inventory at 1 October 2016	27 000	
Sales staff salaries	64 000	
Administrative staff salaries	27 000	
Carriage inwards	4 000	
Administrative expenses	18 000	
Interest on debentures	1 000	
Interim dividend paid	4 000	
Freehold land at cost	250 000	
Vehicles at cost	68 000	
Office machinery at cost	10 000	
Provision for depreciation on:		
Vehicles		18 000
Office machinery		2 000
Trade receivables	34 000	
Trade payables		29 000
Cash and cash equivalents	36 000	
Ordinary share capital (\$1 each)		200 000
5% Debentures (2023 – 2025)		40 000
General reserve		20 000
Retained earnings		28 000
	<u>895 000</u>	<u>895 000</u>

Additional information

The following information is also available:

- 1) Inventory at 30 September 2017 was \$24 000.
- 2) Depreciation is to be charged as follows:
Office machinery at 10% on cost and vehicles at 20% on the net book value.
- 3) The debentures were issued on 1 April 2017.
- 4) On 30 September 2017 an additional 20 000 shares were issued at \$1.20 each. These shares had not been entered in the books of account.
- 5) At 30 September 2017 the directors transferred \$5000 to general reserve and decided to recommend a final dividend of \$0.05 per share on shares held on that date. The transfer to general reserve has not yet been recorded.

REQUIRED:

- a) Calculate the profit for the year ended 30 September 2017.
- b) Prepare the statement of changes in equity at 30 September 2017.
- c) Prepare the statement of financial position at 30 September 2017.